Westpac warns of a housing construction drought

> Westpac told a parliamentary committee it is funding far fewer housing projects as costs climb, leaving the national housing target further out of reach.

WHAT HAPPENED

- Westpac CEO **Anthony Miller** said the bank funds **30% fewer** housing construction projects than about 18 months ago.
- He said each dollar is now "delivering fewer houses", mainly because of **cost pressures**.
- **Investor home loans** fell a record **30.6%** in the year to September.
- The HIA forecasts **new home starts** falling from 199,520 in 2026 to 191,040 in 2027, well short of the Housing Accord goal.

−30% Projects Westpac funds	**−30.6%** Investor loans, year to Sept
191,040 Forecast starts, 2027 (HIA)	**1.2m** Accord target (5 years)

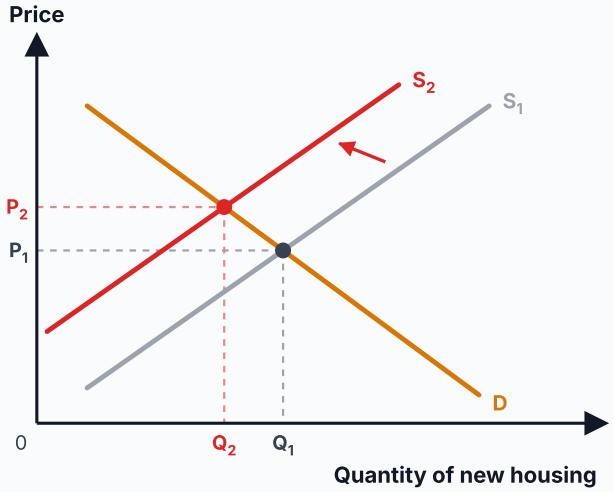
KEY TERMS

Housing starts – New dwellings on which construction has begun.

Housing Accord – National target of 1.2 million new homes over five years.

DIAGRAM

Rising costs shift housing supply left



Higher building and finance costs make fewer projects viable, shifting supply from **S_1 to S_2**.

Fewer homes are built (**Q_1 to Q_2**) and prices are pushed up (**P_1 to P_2**). This worsens affordability for future buyers, even if high interest rates are holding demand back today.

Exam angle: Housing supply links Topic 3 (distribution of wealth, affordability) with Topic 4 microeconomic reform: planning, construction productivity and tax settings.

FLOW CHART

Cause and effect

Rising costs and interest rates → Fewer projects viable or financed → Lower housing starts → **Affordability and wealth gaps worsen**

SYLLABUS LINK

Topic 3 – Economic Issues: distribution of income and wealth (housing affordability); links to **Topic 4** microeconomic reform (housing supply).

TRY THIS (4 marks)

Explain how higher interest rates can make a housing shortage worse in the short run.

Sources: Yahoo Finance AU – Big bank spells out major housing construction drought: https://au.finance.yahoo.com/news/bank-bosses-face-inquiry-over-163000982.html · ABC News – Markets live blog, 12 Nov 2026 (HIA forecast): https://www.abc.net.au/news/2026-11-12/asx-markets-business-news-live-updates-thursday-12-november/107374826